

1. National Income Accounting

Question: Calculate Net National Product at Market Price (NNP at MP) using the following data:

Gross Domestic Product at Market Price (GDP at MP) = ₹2,000 crore

Depreciation = ₹200 crore

Net Factor Income from Abroad = ₹(-50) crore

Solution:

1. Gross National Product at Market Price (GNP at MP) = GDP at MP + Net Factor Income from Abroad
= ₹2,000 crore + (-₹50 crore) = ₹1,950 crore

2. Net National Product at Market Price (NNP at MP) = GNP at MP - Depreciation
= ₹1,950 crore - ₹200 crore = ₹1,750 crore

2. Money & Banking

Question: If the Reserve Ratio (RR) is 10%, calculate the potential increase in money supply if the central bank injects ₹500 crore into the banking system.

Solution:

1. Money Multiplier = $1 / \text{Reserve Ratio}$
= $1 / 0.10 = 10$

2. Potential Increase in Money Supply = Money Multiplier × Initial Injection
= $10 \times ₹500 \text{ crore} = ₹5,000 \text{ crore}$

3. Government Budget

Question: Given the following data, calculate the Primary Deficit:

Fiscal Deficit = ₹400 crore

Interest Payments = ₹100 crore

Solution:

Primary Deficit = Fiscal Deficit - Interest Payments
= ₹400 crore - ₹100 crore = ₹300 crore

4. Balance of Payments (BoP)

Question: If the Current Account Surplus is ₹50 crore and the Capital Account Deficit is ₹30 crore, what is the overall Balance of Payments?

Solution:

Overall BoP = Current Account + Capital Account
= ₹50 crore + (-₹30 crore) = ₹20 crore

5. Aggregate Demand & Supply

Question: In an economy, if the Marginal Propensity to Consume (MPC) is 0.8, calculate the investment multiplier.

Solution:

Investment Multiplier = $1 / (1 - \text{MPC})$
= $1 / (1 - 0.8) = 1 / 0.2 = 5$

6. Poverty Line Estimation

Question: If the poverty line is set at an income of ₹1,000 per month and a family earns ₹800 per month, calculate the Poverty Gap Ratio.

Solution:

1. Poverty Gap = Poverty Line - Family Income
= ₹1,000 - ₹800 = ₹200

2. Poverty Gap Ratio = $(\text{Poverty Gap} / \text{Poverty Line}) \times 100$
= $(₹200 / ₹1,000) \times 100 = 20\%$

7. Inflation Rate Calculation

Question: If the Wholesale Price Index (WPI) was 140 last year and is 154 this year, calculate the Inflation Rate.

Solution:
Inflation Rate = $[(\text{WPI this year} - \text{WPI last year}) / \text{WPI last year}] \times 100 = [(154 - 140) / 140] \times 100 = (14 / 140) \times 100 = 10\%$

8. Population Growth Rate

Question: If the population in 2010 was 50 million and in 2020 it is 60 million, calculate the annual Population Growth Rate.

Solution:
1. Total Growth Rate = $[(\text{Final Population} - \text{Initial Population}) / \text{Initial Population}] \times 100 = [(60 - 50) / 50] \times 100 = (10 / 50) \times 100 = 20\%$
2. Annual Growth Rate = Total Growth Rate / Number of Years. = $20\% / 10 = 2\%$ per year

9. National Income Accounting (Expenditure Method)

Question: Using the expenditure method, calculate GDP at MP with the following data:

Consumption (C) = ₹800 crore
Investment (I) = ₹300 crore
Government Spending (G) = ₹400 crore
Exports (X) = ₹200 crore
Imports (M) = ₹150 crore

Solution:
GDP at MP = $C + I + G + (X - M)$
= ₹800 crore + ₹300 crore + ₹400 crore + (₹200 crore - ₹150 crore) = ₹800 + ₹300 + ₹400 + ₹50 = ₹1,550 crore

10. Money & Banking

Question: If a bank has total deposits of ₹1,000 crore and the Cash Reserve Ratio (CRR) is 4%, calculate the required reserves.

Solution:
Required Reserves = $\text{CRR} \times \text{Total Deposits} = 0.04 \times ₹1,000 \text{ crore} = ₹40 \text{ crore}$

11. Government Budget

Question: If the Revenue Expenditure is ₹600 crore and the Revenue Receipts are ₹500 crore, calculate the Revenue Deficit.

Solution:
Revenue Deficit = $\text{Revenue Expenditure} - \text{Revenue Receipts} = ₹600 \text{ crore} - ₹500 \text{ crore} = ₹100 \text{ crore}$

12. Balance of Payments (BoP)

Question: If the Wholesale Price Index (WPI) was 140 last year and is 154 this year, calculate the Inflation Rate.

Solution:
Inflation Rate = $[(\text{WPI this year} - \text{WPI last year}) / \text{WPI last year}] \times 100$
= $[(154 - 140) / 140] \times 100 = (14 / 140) \times 100 = 10\%$

Question: If the Current Account Deficit is ₹70 crore and the Capital Account Surplus is ₹90 crore, what is the overall Balance of Payments?

Solution:
Overall BoP = $\text{Current Account} + \text{Capital Account}$
= $(-₹70 \text{ crore}) + ₹90 \text{ crore} = ₹20 \text{ crore}$

13. Aggregate Demand & Supply

Question: If the Aggregate Supply (AS) in an economy is ₹2,000 crore and the Aggregate Demand (AD) is ₹2,500 crore, calculate the inflationary gap.

Solution:
Inflationary Gap = $\text{AD} - \text{AS} = ₹2,500 \text{ crore} - ₹2,000 \text{ crore} = ₹500 \text{ crore}$ the overall Balance of Payments?

Solution:
Overall BoP = $\text{Current Account} + \text{Capital Account} = (-₹70 \text{ crore}) + ₹90 \text{ crore} = ₹20 \text{ crore}$

1. National Income Accounting:

Question: Calculate Gross Domestic Product at Market Price (GDP at MP) using the following data:

Compensation of Employees: ₹500 crore
Rent: ₹100 crore
Interest: ₹150 crore
Profit: ₹200 crore
Mixed Income: ₹250 crore
Net Factor Income from Abroad: ₹(-50) crore
Indirect Taxes: ₹120 crore
Subsidies: ₹20 crore



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Solution:

1. National Income (NNP at FC): ₹500 + ₹100 + ₹150 + ₹200 + ₹250 + (-₹50) = ₹1,150 crore
2. Gross National Product at Factor Cost (GNP at FC): NNP at FC + Depreciation (Assume Depreciation = ₹100 crore) = ₹1,150 + ₹100 = ₹1,250 crore
3. Gross Domestic Product at Factor Cost (GDP at FC): GNP at FC - Net Factor Income from Abroad = ₹1,250 - (-₹50) = ₹1,300 crore
4. GDP at Market Price (GDP at MP): GDP at FC + Indirect Taxes - Subsidies = ₹1,300 + ₹120 - ₹20 = ₹1,400 crore

2. Money & Banking:

Question: If the Cash Reserve Ratio (CRR) is 5%, calculate the Money Multiplier.

Solution:

$$\text{Money Multiplier} = 1 / \text{CRR} = 1 / 0.05 = 20$$

3. Government Budget:

Question: Given the following data, calculate the Fiscal Deficit:

Total Expenditure: ₹800 crore
Total Receipts (excluding borrowings): ₹500 crore

Solution:

$$\text{Fiscal Deficit} = \text{Total Expenditure} - \text{Total Receipts} = ₹800 \text{ crore} - ₹500 \text{ crore} = ₹300 \text{ crore}$$

4. Balance of Payments (BoP):

Question: If the Current Account Deficit is ₹100 crore and the Capital Account Surplus is ₹150 crore, what is the overall Balance of Payments?

$$\text{Solution: Overall BoP} = \text{Current Account} + \text{Capital Account} = (-₹100 \text{ crore}) + ₹150 \text{ crore} = ₹50 \text{ crore}$$

5. Aggregate Demand & Supply:

Question: In an economy, if Consumption (C) is ₹400 crore, Investment (I) is ₹100 crore, Government Spending (G) is ₹150 crore, Exports (X) are ₹80 crore, and Imports (M) are ₹60 crore, calculate the Aggregate Demand (AD).

$$\text{Solution: } AD = C + I + G + (X - M) = ₹400 + ₹100 + ₹150 + (₹80 - ₹60) = ₹670 \text{ crore}$$

6. Poverty Line Estimation:

Question: If the total population is 1,000,000 and the number of people below the poverty line is 250,000, calculate the Poverty Ratio.

$$\text{Solution: Poverty Ratio} = (\text{Number of Poor} / \text{Total Population}) \times 100 = (250,000 / 1,000,000) \times 100 = 25\%$$

7. Inflation Rate Calculation:

Question: If the Consumer Price Index (CPI) was 120 last year and is 130 this year, calculate the Inflation Rate.

$$\text{Solution: Inflation Rate} = [(\text{CPI this year} - \text{CPI last year}) / \text{CPI last year}] \times 100 = [(130 - 120) / 120] \times 100 \approx 8.33\%$$

8. Population Growth Rate:

Question: If the population last year was 2,000,000 and this year it is 2,100,000, calculate the Population Growth Rate.

$$\text{Solution: Growth Rate} = [(\text{Population this year} - \text{Population last year}) / \text{Population last year}] \times 100 = [(2,100,000 - 2,000,000) / 2,000,000] \times 100 = 5\%$$

